UnitedHealth Group Inc. (NYSE: UNH US)

Institutional Equity Research Report

RECOMMENDATION	**BUY**
CURRENT MARKET PRICE	**$ 439.11**
TARGET PRICE	**$ 573.46**
IMPLIED UPSIDE	**+31%**

Investment Highlights

✓ Market-leading integrated healthcare platform ✓ Diversified revenue through insurance and Optum

✓ Strong recurring cash flow and capital generation ✓ Structural healthcare demand supports long-term growth

✓ Trading below intrinsic value

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EXECUTIVE SUMMARY

A. Investment Case

UnitedHealth Group is the largest diversified healthcare company in the United States, combining market-leading health insurance operations with an integrated healthcare services platform through Optum. Its diversified revenue streams, recurring premium income and resilient cash generation provide stable earnings across economic cycles. These characteristics, together with its strong competitive position and attractive valuation, make UnitedHealth Group a compelling holding within the Value Stock Portfolio.

B. Key Catalysts

The investment thesis is supported by continued growth in Medicare Advantage enrollment, expansion of value-based care and increasing contributions from Optum's healthcare services and pharmacy platforms. Revenue is forecast to increase from **USD 447.6 billion in FY2025** to approximately **USD 457.2 billion by FY2027**, while Free Cash Flow is expected to remain robust at approximately **USD 22.9 billion in FY2025** and **USD 21.9 billion by FY2027**. These trends are expected to support sustainable earnings growth, continued capital returns and long-term shareholder value creation.

C. Financial Highlights

UnitedHealth Group continues to demonstrate strong financial performance supported by its integrated healthcare model. Cash, cash equivalents and short-term investments increased from **USD 14.2 billion in FY2019** to **USD 28.1 billion in FY2025**, strengthening financial flexibility. Despite higher medical costs, the company continues to generate substantial operating cash flow, with **USD 19.7 billion in FY2025**, while maintaining attractive capital efficiency with **Return on Equity of 12.9%** and **Return on Capital of 8.8%**.

D. Valuation

The valuation analysis indicates that UnitedHealth Group is trading below its intrinsic value. The Discounted Cash Flow model estimates a fair value of **USD 573.46 per share**, representing an implied upside of approximately **30.6%**relative to the current market price of **USD 439.11**. The EV/EBITDA valuation estimates a fair value of **USD 580.32 per share**, implying an upside of **32%**. The consistency between both valuation approaches supports the view that the market is undervaluing the company's long-term earnings and cash flow potential.

E. Recommendation Summary

UnitedHealth Group continues to exhibit the key characteristics sought within the Value Stock Portfolio through its market-leading position, diversified healthcare platform, resilient Free Cash Flow generation and disciplined capital allocation. While medical cost inflation, regulatory changes and execution risks remain important considerations, the company's financial outlook and valuation continue to support the investment thesis. Given the meaningful upside indicated by both the DCF and EV/EBITDA valuations, we recommend **maintaining and selectively increasing the existing portfolio position**, as UnitedHealth Group remains well positioned to deliver sustainable long-term earnings growth and shareholder returns.

BUSINESS ANALYSIS

A. Business Overview

UnitedHealth Group is the largest diversified healthcare company in the United States, operating through its health benefits (UnitedHealthcare) and healthcare services (Optum) businesses. Its integrated model combines insurance, pharmacy services, healthcare delivery and data analytics, creating multiple recurring revenue streams and resilient cash generation. The scale and diversification of its operations support stable earnings, consistent capital returns and long-term value creation, making UnitedHealth Group a strong candidate for inclusion within the Value Stock Portfolio.

B. Strategy & Key Value Drivers

UnitedHealth Group's strategy focuses on expanding value-based healthcare, increasing membership across government and commercial insurance plans, and growing Optum's pharmacy, care delivery and technology platforms. The continued integration of healthcare services with insurance operations improves cost efficiency, enhances patient outcomes and supports sustainable earnings growth. These strategic initiatives strengthen free cash flow generation while enabling continued investment, dividends and share repurchases.

C. Business Moat

UnitedHealth Group's competitive advantage is driven by its unmatched scale, integrated healthcare ecosystem and extensive provider network. The combination of UnitedHealthcare's market-leading insurance platform and Optum's healthcare services creates significant barriers to entry through cost efficiencies, proprietary healthcare data and broad customer relationships. This integrated model enhances operating margins, strengthens pricing power and provides durable earnings resilience compared with traditional health insurers.

D. SWOT Analysis

Strengths

- Diversified, integrated healthcare business model
- Market leadership and strong cash generation

Weaknesses

- Exposure to regulatory change
- Medical cost inflation and reimbursement pressure

Opportunities

- Rising demand for value-based care
- Expanding Medicare Advantage enrollment
- Continued growth of Optum's services

Threats

- Regulatory and policy risk

INDUSTRY ANALYSIS

A. Sector Outlook

The U.S. healthcare industry continues to benefit from structural demand driven by an ageing population, rising prevalence of chronic diseases and increasing healthcare utilisation. Growth in Medicare Advantage, value-based care and digital healthcare services is reshaping the industry, creating long-term opportunities for integrated healthcare companies. UnitedHealth Group is well positioned to benefit from these trends through its diversified insurance and healthcare services platform.

B. Business Cycle

Healthcare is one of the most defensive sectors, as demand for medical services and health insurance remains relatively stable regardless of economic conditions. Although employment trends, reimbursement policies and medical cost inflation can influence short-term profitability, recurring insurance premiums and essential healthcare services provide resilient earnings throughout the business cycle. This defensive profile supports predictable cash flows and strengthens UnitedHealth Group's position within the Value Stock Portfolio.

C. Supply Chain

UnitedHealth Group operates an integrated healthcare ecosystem that connects insurers, healthcare providers, pharmacies and patients through its UnitedHealthcare and Optum businesses. This vertically integrated model improves care coordination, enhances cost efficiency and strengthens negotiating power across the healthcare value chain. The combination of insurance, pharmacy benefit management, healthcare delivery and technology services creates operational efficiencies that are difficult for standalone competitors to replicate.

D. Peer Analysis

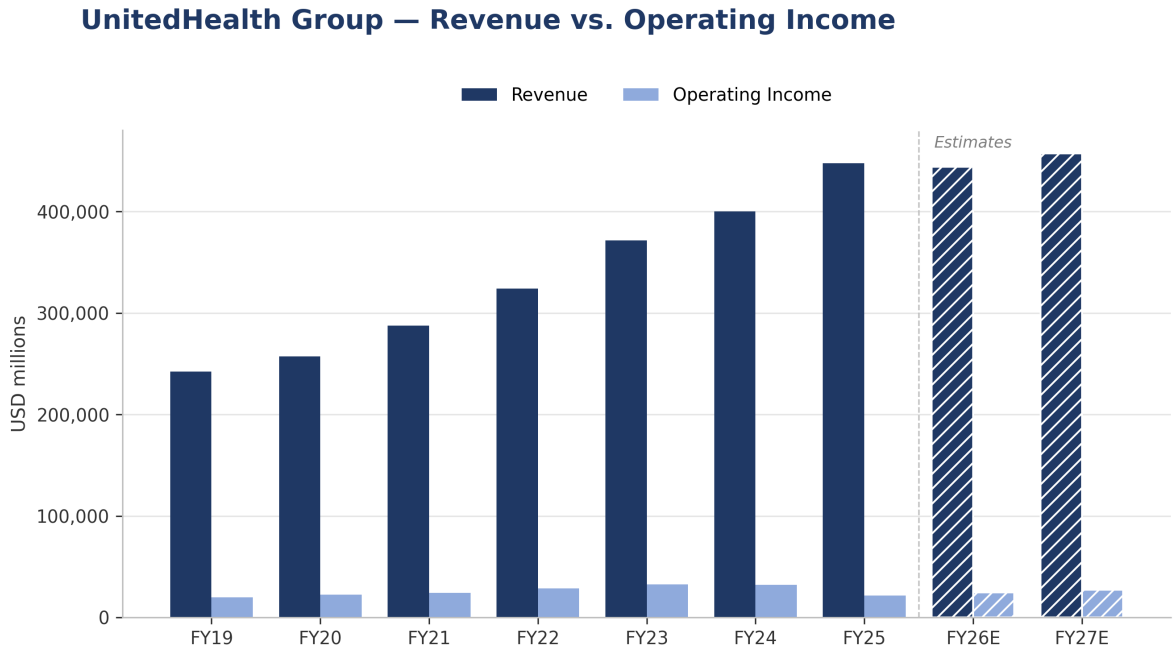
Ticker	Name	Mkt Cap (USD)	EV	EV/EBITDA	P/E	P/FCF	Dividend Yield
UNH US Equity	UNITEDHEALTH GROUP INC	376335.041	419631.041	14.69605103	23.21368188	15.90986	2.159748989
ELV US Equity	ELEVANCE HEALTH INC	81508.15395	75177.15395	8.201740558	15.45421665	13.13648	1.825196257
CI US Equity	THE CIGNA GROUP	73736.30762	98647.30762	7.324638758	2.720870967	8.136192	2.200322475

FUNDAMENTAL ANALYSIS

A. Income Statement Analysis

UnitedHealth Group has consistently expanded its earnings base through membership growth and the continued expansion of its Optum platform. Revenue increased from **USD 242.2 billion in FY2019** to **USD 447.6 billion in FY2025**, with analyst forecasts indicating revenue of approximately **USD 457.2 billion by FY2027**. Despite recent pressure on margins from elevated medical costs, operating profit remains resilient, reflecting the strength of the company's diversified healthcare model and its ability to generate sustainable long-term earnings.

Per Share 12 Months Ending	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 06/30/2026	FY 2026 Est 12/31/2026	FY 2027 Est 12/31/2027
Revenue	**242,155.0**	**257,141.0**	**287,597.0**	**324,162.0**	**371,622.0**	**400,278.0**	**447,567.0**	**450,129.0**	**443,963.4**	**457,245.9**
+ Sales & Services Revenue	50,570.0	54,161.0	59,040.0	64,975.0	76,706.0	86,266.0	91,418.0			
+ Other Revenue	191,585.0	202,980.0	228,557.0	259,187.0	294,916.0	314,012.0	356,149.0			
- Cost of Revenue	184,557.0	190,141.0	217,945.0	244,545.0	280,664.0	310,879.0	364,650.0			
+ Cost of Goods & Services	184,557.0	190,141.0	217,945.0	244,545.0	280,664.0	310,879.0	364,650.0			
Gross Profit	**57,598.0**	**67,000.0**	**69,652.0**	**79,617.0**	**90,958.0**	**89,399.0**	**82,917.0**		**84,060.0**	**87,539.7**
+ Other Operating Income	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
- Operating Expenses	37,913.0	44,595.0	45,682.0	51,182.0	58,600.0	57,112.0	61,404.0			
+ Research & Development	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ Depreciation & Amortization	2,720.0	2,891.0	3,103.0	3,400.0	3,972.0	4,099.0	4,361.0	4,285.0		
+ Other Operating Expense	35,193.0	41,704.0	42,579.0	47,782.0	54,628.0	53,013.0	57,043.0	59,283.0		
Operating Income (Loss)	**19,685.0**	**22,405.0**	**23,970.0**	**28,435.0**	**32,358.0**	**32,287.0**	**21,513.0**	**24,271.0**	**24,405.2**	**27,363.4**
- Non-Operating (Income) Loss	1,704.0	1,663.0	1,660.0	2,092.0	3,246.0	-6,776.0	3,673.0			
+ Interest Expense, Net	1,704.0	1,663.0	1,660.0	2,092.0	3,246.0	3,906.0	4,002.0			
+ *Interest Expense*	*1,704.0*	*1,663.0*	*1,660.0*	*2,092.0*	*3,246.0*	*3,906.0*	*4,002.0*	*3,894.0*		
- *Interest Income*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*			
+ Foreign Exch (Gain) Loss	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ Other Non-Op (Income) Loss	0.0	0.0	0.0	0.0	0.0	-10,682.0	-329.0	-268.0		
Pretax Income (Loss), Adjusted	**17,981.0**	**20,742.0**	**22,310.0**	**26,343.0**	**29,112.0**	**39,063.0**	**17,840.0**	**20,694.0**	**20,463.9**	**23,128.9**

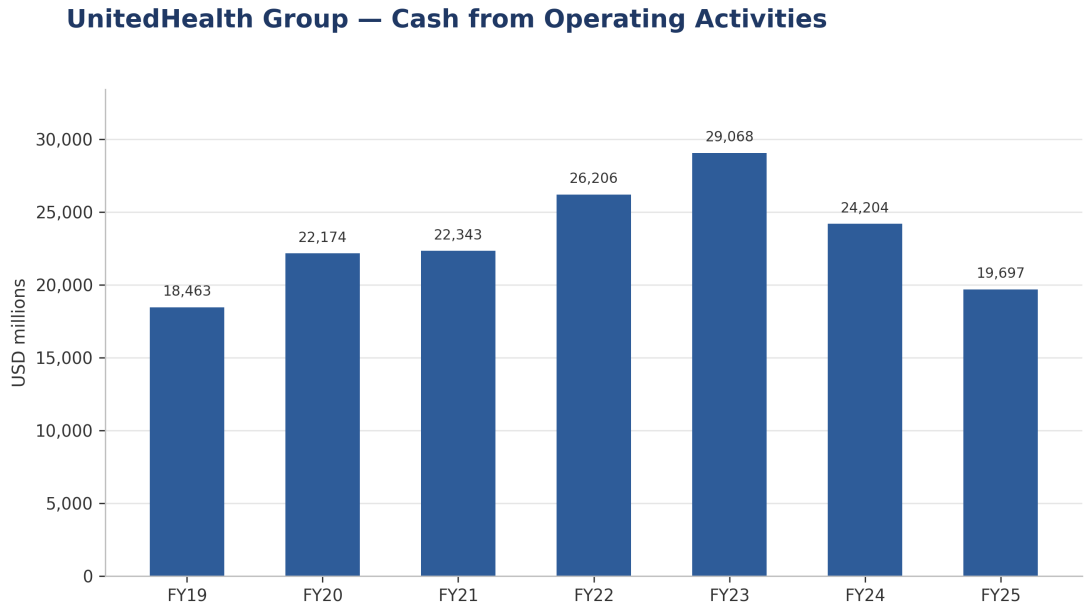


B. Cash Flow Analysis

UnitedHealth Group continues to demonstrate exceptional cash-generating capability, supported by recurring premium income and the expansion of its healthcare services platform. Cash from operating activities increased from **USD 18.5 billion in FY2019** to **USD 29.1 billion in FY2023**, before moderating to **USD 19.7 billion in FY2025**. Despite this recent decline, operating cash flow remains well above historical levels, providing ample capacity to fund capital investment, acquisitions, dividends and share repurchases.

UnitedHealth Group Inc (UNH US) - Standardized

In Millions of USD except Per Share 12 Months Ending	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 06/30/2026
Cash from Operating Activities										
+ Net Income	10,558.0	11,986.0	13,839.0	15,403.0	17,285.0	20,120.0	22,381.0	14,405.0	12,056.0	14,122.0
+ Depreciation & Amortization	2,245.0	2,428.0	2,720.0	2,891.0	3,103.0	3,400.0	3,972.0	4,099.0	4,361.0	
+ Non-Cash Items	-516.0	255.0	-342.0	-1,210.0	-598.0	-934.0	-1,372.0	2,368.0	-3,608.0	
+ Stock-Based Compensation	597.0	638.0	697.0	679.0	800.0	925.0	1,059.0	1,018.0	971.0	
+ Deferred Income Taxes	-965.0	42.0	230.0	-8.0	130.0	-673.0	-245.0	-296.0	-1,752.0	
+ Other Non-Cash Adj	-148.0	-425.0	-1,269.0	-1,881.0	-1,528.0	-1,186.0	-2,186.0	1,646.0	-2,827.0	
+ Chg in Non-Cash Work Cap	1,309.0	1,044.0	2,246.0	5,090.0	2,553.0	3,620.0	4,087.0	3,332.0	6,888.0	
+ (Inc) Dec in Accts Receiv	-1,062.0	-1,351.0	162.0	-688.0	-1,000.0	-2,523.0	-3,114.0	-1,437.0	-764.0	
+ (Inc) Dec in Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
+ Inc (Dec) in Accts Payable	1,284.0	1,831.0	1,221.0	152.0	2,701.0	4,053.0	3,482.0	2,503.0	5,824.0	
+ Inc (Dec) in Other	1,087.0	564.0	863.0	5,626.0	852.0	2,090.0	3,719.0	2,266.0	1,828.0	
+ Net Cash From Disc Ops	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Cash from Operating Activities	**13,596.0**	**15,713.0**	**18,463.0**	**22,174.0**	**22,343.0**	**26,206.0**	**29,068.0**	**24,204.0**	**19,697.0**	



C. Balance Sheet Analysis

UnitedHealth Group maintains a strong liquidity position supported by substantial cash reserves and a disciplined approach to capital allocation. Cash, cash equivalents and short-term investments increased from **USD 14.2 billion in FY2019** to **USD 28.1 billion in FY2025**, providing significant financial flexibility to support acquisitions, technology investments, share repurchases and dividend growth. The balance sheet continues to reinforce the company's long-term financial resilience.

In Millions of USD except Per Share 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Total Assets										
+ Cash, Cash Equivalents & STI	13,275.0	15,490.0	14,324.0	14,245.0	19,781.0	23,907.0	27,911.0	29,628.0	29,113.0	28,121.0
+ Cash & Cash Equivalents	10,430.0	11,981.0	10,866.0	10,985.0	16,921.0	21,375.0	23,365.0	25,427.0	25,312.0	24,365.0
+ ST Investments	2,845.0	3,509.0	3,458.0	3,260.0	2,860.0	2,532.0	4,546.0	4,201.0	3,801.0	3,756.0
+ Accounts & Notes Receiv	8,152.0	9,568.0	11,388.0	11,822.0	12,870.0	14,216.0	17,681.0	21,276.0	22,365.0	23,018.0
+ Accounts Receivable, Net	8,152.0	9,568.0	11,388.0	11,822.0	12,870.0	14,216.0	17,681.0	21,276.0	22,365.0	23,018.0
+ Notes Receivable, Net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Raw Materials	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Work In Process	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Finished Goods	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other Inventory	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other ST Assets	12,452.0	12,026.0	12,980.0	16,567.0	21,067.0	23,635.0	23,477.0	27,533.0	34,301.0	39,443.0
+ Derivative & Hedging Assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Misc ST Assets	12,452.0	12,026.0	12,980.0	16,567.0	21,067.0	23,635.0	23,477.0	27,533.0	34,301.0	39,443.0
Total Current Assets	**33,879.0**	**37,084.0**	**38,692.0**	**42,634.0**	**53,718.0**	**61,758.0**	**69,069.0**	**78,437.0**	**85,779.0**	**90,582.0**
+ Property, Plant & Equip, Net	5,901.0	7,013.0	8,458.0	8,704.0	8,626.0	8,969.0	10,128.0	11,450.0	10,553.0	10,762.0
+ Property, Plant & Equip	9,650.0	10,707.0	12,599.0	13,699.0	13,856.0	14,961.0	17,058.0	18,489.0	17,524.0	18,308.0
- Accumulated Depreciation	3,749.0	3,694.0	4,141.0	4,995.0	5,230.0	5,992.0	6,930.0	7,039.0	6,971.0	7,546.0
+ LT Investments & Receivables	23,868.0	28,341.0	32,510.0	37,209.0	41,242.0	43,114.0	43,728.0	47,609.0	52,354.0	54,251.0
+ LT Investments	23,868.0	28,341.0	32,510.0	37,209.0	41,242.0	43,114.0	43,728.0	47,609.0	52,354.0	54,251.0
+ Other LT Assets	59,162.0	66,620.0	72,561.0	85,342.0	93,703.0	98,365.0	122,780.0	136,224.0	149,592.0	153,986.0
+ Total Intangible Assets	56,125.0	63,045.0	68,235.0	76,008.0	82,193.0	85,839.0	107,753.0	118,926.0	130,002.0	130,973.0
+ *Goodwill*	*47,584.0*	*54,556.0*	*58,910.0*	*65,659.0*	*71,337.0*	*75,795.0*	*93,352.0*	*103,732.0*	*106,734.0*	*110,499.0*
+ *Other Intangible Assets*	*8,541.0*	*8,489.0*	*9,325.0*	*10,349.0*	*10,856.0*	*10,044.0*	*14,401.0*	*15,194.0*	*23,268.0*	*20,474.0*
+ Derivative & Hedging Assets	55.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Misc LT Assets	2,982.0	3,575.0	4,326.0	9,334.0	11,510.0	12,526.0	15,027.0	17,298.0	19,590.0	23,013.0
Total Noncurrent Assets	**88,931.0**	**101,974.0**	**113,529.0**	**131,255.0**	**143,571.0**	**150,448.0**	**176,636.0**	**195,283.0**	**212,499.0**	**218,999.0**
Total Assets	**122,810.0**	**139,058.0**	**152,221.0**	**173,889.0**	**197,289.0**	**212,206.0**	**245,705.0**	**273,720.0**	**298,278.0**	**309,581.0**

D. Return on Capital Analysis

UnitedHealth Group has consistently delivered strong capital efficiency, reflecting disciplined capital allocation and the profitability of its integrated healthcare model. Return on Common Equity remained above **25%** between **FY2019 and FY2023**, peaking at **26.9% in FY2022**, while Return on Capital reached **16.3% in FY2023**. Although both metrics moderated to **12.9% ROE** and **8.8% ROC** in **FY2025**, the company continues to generate returns that remain attractive for a mature healthcare leader and support long-term shareholder value creation.

Office on the web Frame 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Returns										
Return on Common Equity	19.46	24.54	24.10	25.32	25.02	25.19	26.91	26.88	15.88	12.91
Return on Assets	6.00	8.06	8.23	8.49	8.30	8.44	8.79	8.62	5.04	3.97
Return on Capital	11.13	15.16	15.26	15.62	15.12	15.54	16.17	16.33	10.38	8.83
Return on Invested Capital	10.64	14.59	14.76	15.11	14.61	15.01	15.72	15.94	13.65	8.76

DISCOUNTED CASH FLOW (DCF) VALUATION

A. Free Cash Flow Projection

UnitedHealth Group's valuation is supported by its ability to generate consistently strong Free Cash Flow from recurring insurance premiums and the continued expansion of the Optum platform. Free Cash Flow is projected to remain robust at approximately **USD 22.9 billion in FY2025**, before moderating to **USD 21.9 billion by FY2027**, reflecting a normalisation following exceptionally strong cash generation in prior years. This level of cash generation continues to support acquisitions, dividend growth and share repurchases.

In Millions of USD		Dec 20 A	Dec 21 A	Dec 22 A	Dec 23 A	Dec 24 A	Dec 25 A	Dec 26 A	Dec 27 A	Dec 28 A	Dec 29 A	Dec 30 A	Dec 31 A	Year 5
Revenue (Estimate Comparable)		**257,141**	**287,597**	**324,162**	**371,622**	**400,278**	**447,567**	**443,963**	**457,246**	**485,078**	**517,656**	**557,747**	**592,717**	
Revenue (Adjusted)		**257,141**	**287,597**	**324,162**	**371,622**	**400,278**	**447,567**							
% YoY Growth	Edit Row			13%	15%	8%	12%	-1%	3%	6%	7%	8%	6%	
(-) Cost of Revenue		190,141	217,945	244,545	280,664	310,879	364,650	359,903	369,707	390,349	416,604	447,668	473,013	
(-) Cost of Revenue (GAAP)		190,141	217,945	244,545	280,664	310,879	364,650							
% of Revenue		74%	76%	75%	76%	78%	81%	81%	81%	80%	80%	80%	80%	
(=) Gross Profit		**67,000**	**69,652**	**79,617**	**90,958**	**89,399**	**82,917**	**84,060**	**87,539**	**94,729**	**101,053**	**110,079**	**119,704**	
% Margin	Edit Row	26%	24%	25%	24%	22%	19%	19%	19%	20%	20%	20%	20%	
(-) Operating Expenses/Income		44,595	45,682	51,182	58,600	57,112	61,404	59,655	60,176	63,241	66,560	72,320	81,927	
% of Revenue	Edit Row	17%	16%	16%	16%	14%	14%	13%	13%	13%	13%	13%	14%	
% YoY Growth			2%	12%	14%	-3%	8%	-3%	1%	5%	5%	9%	13%	
(=) Operating Income		**22,405**	**23,970**	**28,435**	**32,358**	**32,287**	**21,513**	**24,406**	**27,363**	**31,488**	**34,493**	**37,758**	**37,778**	
% Margin		9%	8%	9%	9%	8%	5%	5%	6%	6%	7%	7%	6%	
(-) Tax on Operating Income		**4,973**	**4,578**	**5,704**	**5,968**	**7,219**	**2,947**	**4,768**	**5,291**	**5,943**	**6,398**	**7,009**	**7,167**	
% Tax Rate	Edit Row	24%	21%	22%	21%	18%	17%	20%	19%	19%	19%	19%	19%	
(=) NOPAT		**17,432**	**19,392**	**22,731**	**26,390**	**25,068**	**18,566**	**19,638**	**22,071**	**25,544**	**28,094**	**30,749**	**30,610**	
% Margin		7%	7%	7%	7%	6%	4%	4%	5%	5%	5%	6%	5%	
(+) Depreciation & Amortization		2,891	3,103	3,400	3,972	4,099	4,361	3,974	4,552	4,948	6,330	6,354	9,016	
% of Revenue	Edit Row	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	2%	
% YoY Growth			7%	10%	17%	3%	6%	-9%	15%	9%	28%	0%	42%	
(-) Capital Expenditure		2,051	2,454	2,802	3,386	3,499	3,622	3,624	3,886	4,104	4,329	4,584	4,850	
% of Revenue	Edit Row	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	
% YoY Growth			20%	14%	21%	3%	4%	0%	7%	6%	5%	6%	6%	
(-) Changes in Net Working Capital		(4,080)	(3,152)	(8,021)	(961)	3,389	(3,771)	(3,396)	(3,195)	(1,667)	(1,867)	(3,358)	(3,284)	
% of Revenue	Edit Row	-2%	-1%	-2%	0%	1%	-1%	-1%	-1%	0%	0%	-1%	-1%	
(+) Changes in Net Long Term Deferred Tax Liabilities		374	(102)	(496)	252	599	(1,199)	212	230	144	255	496	315	
% of Revenue	Edit Row	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	
(+) Other User Estimated Non-Cash Adjustments								-	-	-	-	-	-	
% of Revenue	Edit Row							0%	0%	0%	0%	0%	0%	
(=) Free Cash Flow		**22,726**	**23,091**	**30,854**	**28,189**	**22,878**	**21,877**	**23,172**	**25,703**	**27,911**	**31,708**	**35,381**	**37,745**	**36,657**

B. Estimation of WACC

Particulars	Weight	Cost	Wtd Avg
Equity	83.70%	9.90%	8.30%
Debt	16.30%	5.10%	0.08%
Preferred Equity	0.00%	0.00%	0.00%
WACC			**8.70%**

C. Terminal Cash Flow

A **terminal growth rate of 2.5%** has been applied, reflecting sustainable long-term growth supported by increasing healthcare utilisation, continued Medicare Advantage expansion and the growth of Optum's healthcare services. The assumption is consistent with a mature healthcare leader capable of delivering steady long-term cash flow growth.

D. Enterprise Value

The enterprise value is derived from the present value of forecast Free Cash Flows together with the terminal value, reflecting UnitedHealth Group's ability to generate resilient earnings across both its insurance and healthcare services businesses. The valuation highlights the long-term cash-generating strength of the company's integrated healthcare model rather than short-term fluctuations in medical costs.

Perpetuity Growth Method - Value per Share	
Free Cash Flow at Year 5	36,657
WACC	8.7%
Perpetuity Growth Rate	2.5%
Perpetuity Value at End of Year 5	605,604
Present Value of Perpetuity (@ 8.7% WACC)	398,984
(+) Present Value of Free Cash Flows (@ 8.7% WACC)	121,801
(=) Current Enterprise Value	**520,786**
Short Term Debt	
(+) Long Term Debt	
(-) Cash and Marketable Securities	
(-) Current Net Debt	-
(-) Current Preferred and Minority Interest	-
(=) Equity Value	520,786
Shares outstanding	908
Estimated Value per Share (USD)	**573.46**
Current Price (USD)	439.11
Estimated Upside	**31%**

E. Equity Value

The DCF model estimates an intrinsic value of **USD 573.46 per share**, compared with the current market price of **USD 439.11**, implying an upside of approximately **30.6%**. The intrinsic value also exceeds the consensus target price of **USD 441.29**, indicating that the market does not fully reflect UnitedHealth Group's long-term earnings and cash flow potential. The implied margin of safety, supported by resilient cash generation and a diversified healthcare platform, reinforces the case for maintaining and selectively increasing the company's allocation within the Value Stock Portfolio.

MULTIPLE-BASED VALUATION (EV/EBITDA)

The EV/EBITDA valuation provides a market-based assessment of UnitedHealth Group's intrinsic value by applying an industry-appropriate exit multiple to the company's forecast terminal EBITDA. Based on the assumptions used in the valuation model, the EV/EBITDA approach estimates an intrinsic value of **USD 580.32 per share**, compared with the current market price of **USD 439.11**, implying an upside of approximately **32%**.

Compared with the DCF valuation of **USD 573.46 per share** (30.6% upside), the EV/EBITDA approach produces a more conservative estimate of fair value. This reflects the use of prevailing healthcare sector trading multiples, whereas the DCF captures the long-term value of UnitedHealth Group's recurring cash flows, integrated healthcare platform and sustainable Free Cash Flow generation.

Although the implied upside is lower than the DCF valuation, both methodologies consistently indicate that UnitedHealth Group is trading below its intrinsic value. The convergence of the two valuation approaches strengthens confidence in the investment thesis and supports the company's continued inclusion within the Value Stock Portfolio as a high-quality healthcare leader with resilient earnings, strong cash generation and durable long-term growth.

EBITDA Multiple Method - Value per Share	
Terminal EBITDA at Year 5	45,560
WACC	8.7%
Exit Enterprise Value / EBITDA	13.5x
Terminal Value at End of Year 5	615,053
Present Value of Terminal Value (@ 8.7% WACC)	405,210
(+) Present Value of Free Cash Flows (@ 8.7% WACC)	121,801
(=) Current Enterprise Value	**527,011.4**
Short Term Debt	
(+) Long Term Debt	
(-) Cash and Marketable Securities	
(-) Current Net Debt	-
(-) Current Preferred and Minority Interest	-
(=) Equity Value	527,011
Shares outstanding	908
Estimated Value per Share (USD)	**580.32**
Current Price (USD)	439.11
Estimated Upside	**32%**

(=) Free Cash Flow		**22,726**	**23,091**	**30,854**	**28,189**	**22,878**	**21,877**	**23,172**	**25,703**	**27,911**	**31,708**	**35,381**	**37,745**	**36,657**
% Margin	Edit Row	9%	8%	10%	8%	6%	5%	5%	6%	6%	6%	6%	6%	
% YoY Growth			2%	34%	-9%	-19%	-4%	6%	11%	9%	14%	12%	7%	
% of the Free Cash Flow to be discounted								46%	100%	100%	100%	100%	54%	
Period for Discount Factor (Mid-Year Convention)								0.23	0.96	1.96	2.96	3.96	4.73	
Discount Factor @ 8.7% WACC								0.98	0.92	0.85	0.78	0.72	0.67	
Present Value of Free Cash Flow (5 Years)								**10,463**	**23,724**	**23,699**	**24,766**	**25,423**	**13,727**	
EBITDA		25,296	27,073	31,835	36,330	36,386	25,874	28,380	31,915	36,436	40,823	44,112	46,794	45,560

RISK ASSESSMENT

A. Medical Cost Inflation Risk

UnitedHealth Group's profitability depends on its ability to effectively manage medical costs relative to premium growth. Sustained increases in healthcare utilisation or medical claims could compress margins and reduce the projected Free Cash Flow of approximately **USD 22.9 billion in FY2025** and **USD 21.9 billion by FY2027**. Higher-than-expected medical costs would lower earnings and reduce the intrinsic value estimated by the DCF model.

B. Regulatory Risk

The healthcare insurance industry remains highly regulated, with government reimbursement policies and Medicare Advantage regulations directly influencing profitability. Changes to reimbursement rates, pricing regulations or healthcare legislation could slow earnings growth across both UnitedHealthcare and Optum. Such developments would reduce projected operating cash flows and negatively impact both the DCF and EV/EBITDA valuations.

C. Execution Risk

UnitedHealth Group's long-term growth increasingly depends on the continued expansion of Optum and the successful integration of healthcare services across its platform. Slower growth in healthcare services, pharmacy benefit management or value-based care initiatives could limit revenue growth, reducing the forecast expansion in earnings and Free Cash Flow that underpins the valuation.

D. Valuation Risk

The DCF model estimates an intrinsic value of **USD 573.46 per share**, while the EV/EBITDA valuation estimates **USD 580.32 per share**, compared with the current market price of **USD 439.11**. Although both approaches indicate meaningful upside, the valuation remains sensitive to assumptions regarding Free Cash Flow generation, medical cost trends, terminal growth and the discount rate. Any deterioration in operating performance would reduce the company's intrinsic value and narrow the current margin of safety.

CONCLUSION

UnitedHealth Group remains a high-quality healthcare company supported by its integrated business model, market-leading position and resilient recurring cash flows. The combination of UnitedHealthcare's insurance operations and Optum's healthcare services platform provides diversified earnings, operational efficiencies and durable competitive advantages that support long-term shareholder value.

The financial analysis indicates continued strength in the company's operating performance, supported by sustained revenue growth, robust cash generation and attractive returns on capital. The DCF valuation estimates an intrinsic value of **USD 573.46 per share**, representing an implied upside of approximately **30.6%** over the current market price of **USD 439.11**, while the EV/EBITDA valuation estimates a fair value of **USD 580.32 per share**, implying an upside of **32%**.

Supported by consistent Free Cash Flow generation, strong capital efficiency and an attractive valuation relative to its intrinsic worth, UnitedHealth Group continues to meet the key characteristics sought within the Value Stock Portfolio. Accordingly, we recommend **BUY**, as the company remains well positioned to deliver sustainable long-term earnings growth and shareholder returns.